

Partner Due Diligence Questionnaire

Wolfsberg CBDDQ-Aligned

MAL MONEY INC. (Trade Name: Mal Money)

BaaS Program Manager - Anti-Money Laundering and Counter-Terrorism Financing

EIN: 16878389 | Montana Corporation | 821 N 27th St #2066, Billings, MT 59101-1121, USA

DOCUMENT CONTROL	
Document Title	Partner Due Diligence Questionnaire - Wolfsberg CBDDQ-Aligned
Subject Institution	MAL MONEY INC. (Trade Name: Mal Money)
EIN / Registration	16878389 Montana Corporation
Institution Type	BaaS Program Manager - compliance framework structured consistent with MSB AML obligations to the extent applicable
Format	Partner-adapted DDQ aligned to Wolfsberg Group CBDDQ / FCCQ structure
Version	1.0 FATF language corrected; SAR allocation conditional; CIP basis corrected; 314(b) conditional
Completion Date	March 31, 2026

This DDQ reflects the Company's current compliance framework design and governance posture as of the Completion Date. It must not be relied upon in isolation from the AML/BSA Compliance Program and the Governance, Regulatory Perimeter and Compliance Positioning Memorandum. Responses marked COND remain subject to confirmed perimeter determinations or final implementation status and will be updated upon confirmation. This document is provided on a confidential basis for due diligence purposes only.

Part 1 - Institution Profile: General Information

Question	Status	Explanation / Notes
Full legal name	NOTE	MAL MONEY INC. - Montana corporation
Primary trade / brand name	NOTE	Mal Money
Country / State of incorporation	NOTE	United States - Montana
Registered address	NOTE	821 N 27th St #2066, Billings, MT 59101
Primary regulatory body	COND	FinCEN (U.S. Department of Treasury) - to the extent the Company is an MSB under 31 C.F.R. § 1010.100(ff); see Regulatory Perimeter Memo
Institution type	NOTE	BaaS program manager; compliance framework consistent with MSB AML obligations to the extent applicable
MSB registration with FinCEN	COND	[Confirm: Filed / Pending / Analysis ongoing] - see Regulatory Perimeter Memo
Year established	NOTE	operational from 2025
Primary business activities	NOTE	Cross-border stablecoin-to-fiat settlement; BaaS program management; payout orchestration across high-risk corridors
Corridors of operation	NOTE	Pakistan, Egypt, Bangladesh, Turkey, UAE - all classified under Company's internal high-risk corridor framework
Retail customer servicing	COND	Framework designed to support end-user retail remittance customers. Status updated to YES upon confirmed live retail onboarding.
Institutional / B2B clients	COND	Framework designed to support BaaS partners, fintechs, and payment operators. Status updated to YES upon confirmed active institutional client relationships.

Part 1 - Institution Profile: Ownership and Control

Question	Status	Explanation / Notes
Publicly listed?	NO	Privately held Montana corporation
Beneficial ownership information available?	YES	Available to verified partners and regulators on request with appropriate DD/NDA controls
Any beneficial owners who are PEPs?	NO	Confirmed by Board and BO certification as of this DDQ date
Any sanctioned persons in ownership or control?	NO	Confirmed by OFAC screening of all owners and directors
Ownership structure transparent and verifiable?	YES	Full BO documentation available to partners on request

Part 2 - AML/BSA Compliance Program: Governance

Question	Status	Explanation / Notes
Written AML/BSA Compliance Program?	YES	Board-Grade Policy; Board-approved; reviewed at least annually and upon material change
Program structured consistent with 31 C.F.R. § 1022.210?	YES	Implements four AML program pillars to the extent applicable as a BaaS program manager
Designated AML/BSA CO?	YES	U.S.-based CO; appointed by Board; direct Board reporting; independent from revenue functions
CO reports directly to Board?	YES	Functional independence confirmed; CO does not report through CEO or any revenue function
Independent AML audit commitment?	YES	Formal commitment: independent testing within 12 months of launch; risk-based thereafter; third-party independent of CO
Annual employee AML/CTF training?	YES	Annual baseline; role-specific; new-hire onboarding within 30 days; records retained 5 years
SAR Committee for high-risk cases?	YES	CO + designated senior management representative; decisions documented; pre-filing QA review on all SAR packages
Board quarterly compliance dashboard?	YES	Quarterly metrics: SARs, CTRs, alert SLA (P1/P2/P3), issues log, KYC tier distribution, training completion, audit status
Issues and exceptions management framework?	YES	Severity levels (Critical/High/Medium/Low/Exception); SLAs; Board visibility for Critical and High; quarterly issues log

Part 2 - AML/BSA Compliance Program: Customer Due Diligence

Question	Status	Explanation / Notes
Risk-based KYC/CDD framework?	YES	Three-tier onboarding model (Tier 1 Standard; Tier 2 Elevated; Tier 3 EDD) consistent with U.S. AML expectations and partner requirements
Note on CIP rule basis	NOTE	Company's KYC/CDD is not claimed as direct implementation of 31 C.F.R. § 1020.220 (bank CIP rule); it is a risk-based framework appropriate for a BaaS program manager
Beneficial ownership identification and verification?	YES	25% threshold Tier 1/2; internal enhanced standard 10% threshold for Tier 3 EDD
EDD for high-risk customers?	YES	Mandatory Tier 3 EDD: SoF/SoW documentation; independent background investigation; Senior Management approval
PEP screening at onboarding and periodic refresh?	YES	PEP database at onboarding and each KYC refresh cycle

Adverse media screening?	YES	At onboarding and re-screened at each KYC refresh cycle
OFAC/sanctions screening at onboarding?	YES	Real-time SDN plus applicable OFAC program-specific lists; fuzzy name matching
Periodic KYC refresh?	YES	Tier 1: annual; Tier 2: semi-annual; Tier 3: quarterly + event-driven triggers
Prohibited customer types documented?	YES	Includes OFAC-listed persons; shell banks; unregistered MSBs; mixers/tumblers; cannabis; anonymous accounts
Customer offboarding procedure?	YES	Documented SOP; SAR review mandatory before Tier 2/3 termination; records retained 5 years from closure

Part 2 - AML/BSA Compliance Program: Transaction Monitoring

Question	Status	Explanation / Notes
Formal TM program?	YES	TM Procedures; automated rules + behavioral analytics + blockchain analytics; P1/P2/P3 severity model
P1/P2/P3 alert severity model?	YES	P1: 4-hour CO review; P2: 24-hour CO review; P3: 48-hour analyst review; SLA breach escalation and Board reporting
TM covers fiat and digital assets?	YES	ACH; wire; card; stablecoin (USDT, USDC, other pegged assets)
Blockchain analytics for digital assets?	COND	Blockchain analytics platform is incorporated into the Company's control framework design. Status updated to YES upon confirmed live digital asset transaction processing.
Mixer/tumbler detection?	COND	Exposure above configured blockchain analytics threshold triggers P1 alert and hold. Status updated to YES upon confirmed live operations.
ACH return and recall fraud controls?	YES	R10/R29 P2 triggers; CO recall queue mandatory; 0.5% return rate threshold; recall fraud pattern P1 escalation
CVC kiosk scam typologies (FIN-2025-CVCKIOSK)?	YES	Incorporated as monitoring scenarios per FinCEN Notice dated August 4, 2025
Chinese ML network typologies (FIN-2025-A003)?	YES	Incorporated as monitoring scenarios per FinCEN Advisory dated August 28, 2025
SAR filing - direct (where Company is filing institution)?	COND	Where Company is the regulated MSB filing institution: SARs filed within 30 days at \$2,000 threshold. See Regulatory Perimeter Memo.
SAR escalation (where Banking Partner is filer)?	YES	Company detects, investigates, prepares escalation package, transmits within ~20 days; all escalations logged with outcome tracking
CTR filing?	COND	CTR obligations apply to the extent Company is a filing institution. See Regulatory Perimeter Memo for filing allocation.

Continuing activity SARs?	YES	Risk-based approach; ~90-day review cycle where Company is filer
TM rule tuning and QA?	YES	Quarterly review; post-SAR review; annual risk assessment integration; FinCEN advisory 30-day incorporation

Part 2 - AML/BSA Compliance Program: Sanctions Compliance

Question	Status	Explanation / Notes
Formal OFAC sanctions compliance program?	YES	Tracks OFAC's five-component framework: management commitment; risk assessment; internal controls; testing/audit; training
OFAC SDN screening at onboarding and ongoing?	YES	Real-time SDN; updated daily; fuzzy name matching; counterparty screening
Transaction screening against OFAC lists?	YES	Real-time transaction screening; all corridors; all asset classes
Enhanced sanctions and illicit finance screening?	YES	SDGT; SDNTK; NPWMD; E.O. 13224; E.O. 13268; country-specific OFAC programs; UN Consolidated List
OFAC 50 Percent Rule applied?	YES	Entities 50%+ owned by SDNs treated as blocked per OFAC guidance
Digital asset wallet OFAC screening?	COND	Blockchain analytics OFAC virtual currency address screening is incorporated into the Company's control framework design. Status updated to YES upon confirmed live digital asset transaction processing.
OFAC blocking / rejection reports filed within 10 business days?	COND	Where Company is responsible for OFAC actions: filed within 10 business days. See Regulatory Perimeter Memo for scope.
No-shell-bank policy?	YES	Documented prohibition; shell bank correspondent relationships prohibited

Part 2 - AML/BSA Compliance Program: Recordkeeping

Question	Status	Explanation / Notes
AML records retained minimum 5 years?	YES	31 C.F.R. Chapter X; measured from account closure or transaction completion date
SAR filings and supporting documents retained?	YES	5 years from filing date; copies maintained separate from FinCEN e-filing system
Travel Rule / funds transmittal records (31 C.F.R. § 1010.410)?	COND	Recordkeeping framework for transmittals at \$3,000+ is incorporated into TM Procedures. Operational retention applies upon commencement of qualifying transmittals.
OFAC records retained?	YES	Screening results; adjudications; blocking/rejection records; 5 years from action

Training records retained?	YES	5 years; attendance; materials; competency assessments
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Part 3 - Information Sharing: FinCEN 314(a) and 314(b)

Question	Status	Explanation / Notes
314(a) designated contact established?	YES	CO designated as FinCEN 314(a) contact; records searched within allotted timeframe (~2 weeks); positive matches reported; strictly confidential
314(b) voluntary information sharing - does institution participate?	COND	Framework established. All sharing subject to: FinCEN notice; counterparty verification; limitation to ML/TF; documentation. Update to YES only if FinCEN notice is confirmed filed.

Part 4 - Corridors: Internal Corridor Risk Framework

Question	Status	Explanation / Notes
Internal corridor risk assessment?	YES	Comprehensive internal risk assessment; corridors classified Very High/High/Medium-High regardless of current FATF list status
Pakistan - current risk classification?	NOTE	VERY HIGH - internal classification. NOT on FATF grey list (removed Oct 2022). Based on TF risk, hawala/hundi prevalence, and province-level risks (KPK/FATA/Balochistan).
Egypt - current risk classification?	NOTE	HIGH - internal classification. NOT on FATF grey list. Based on currency control evasion risk, informal economy, and limited AML enforcement.
Bangladesh - current risk classification?	NOTE	HIGH - internal classification. NOT on FATF grey list. Based on trade-based ML, remittance vulnerability, and NPO/charity TF exposure.
Turkey (Turkiye) - current risk classification?	NOTE	MEDIUM-HIGH - internal classification. NOT on grey list (removed June 2024). Based on gold/CVC trading risks and geographic position.
UAE - current risk classification?	NOTE	MEDIUM-HIGH - internal classification. NOT on grey list (removed Feb 2024). Based on trade finance ML risk and proximity to sanctioned jurisdictions.
Province-level sub-risking (Pakistan)?	YES	KPK/FATA/Balochistan: mandatory Tier 3 / Very High; Karachi/Sindh: Tier 3 default / High; Punjab: Tier 2+ / High; Islamabad: Tier 2 standard
Corridor Addendum process?	YES	Board approval (Very High/High) or CO sign-off + Board notification (Medium-High) required before go-live; annual revalidation

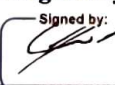
Part 4 - Digital Assets and Stablecoins

Question	Status	Explanation / Notes
Stablecoin / CVC transactions processed?	COND	USDT, USDC, and other fiat-pegged assets are incorporated into the Company's compliance framework design as settlement instruments. Live processing subject to launch scope and corridor go-live status.
FATF Recommendation 16 / Travel Rule?	COND	Travel Rule compliance framework is designed and incorporated into TM Procedures. Operational application depends on confirmed transaction scope and structure.
CVC kiosk scam typologies (FIN-2025-CVCKIOSK)?	YES	Incorporated per FinCEN Notice August 4, 2025
Chinese ML network typologies (FIN-2025-A003)?	YES	Incorporated per FinCEN Advisory August 28, 2025
Mixer/tumbler exposure detection?	COND	Above configured blockchain analytics threshold triggers P1; operational detection subject to confirmed live stablecoin processing scope.
OFAC digital asset wallet screening?	COND	All wallet addresses designed to be screened against OFAC CVC designations via blockchain analytics. Operational screening subject to confirmed live digital asset processing.

Part 5 - Certification

The undersigned, as AML/BSA Compliance Officer of MAL MONEY INC., certifies that the responses in this DDQ reflect the Company's compliance framework design and current governance posture as of the Completion Date, subject to the COND items noted throughout.

This DDQ is not a guarantee that all described controls are fully live in production at the Completion Date; it represents the Company's compliance architecture and the status of implementation as of that date. Where responses are marked COND, updated confirmed responses will be provided upon completion of the Regulatory Perimeter Memorandum and implementation confirmation. This DDQ must not be relied upon in isolation from the AML/BSA Compliance Program and the Governance, Regulatory Perimeter and Compliance Positioning Memorandum, which together form the complete compliance framework documentation of MAL MONEY INC.

AML/BSA Compliance Officer Signature:  Name: <u>Jason Mullen</u> Date: <u>04/27/2026</u>	Authorized Signatory Signed by:  Signature: <u>0C8EC9AF413D4D4</u> Name, Title: <u>Abdallah Abu Sheikh, Sole Director</u> Date: <u>4/20/2026</u>
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